LEGISLATIVE AND REGULATORY RISK BRIEFING · NO. 2

Chile’s 2027 mining budget

A budget chapter rejected in the Chamber, lower transfers from Codelco and an open debate on its ownership

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Independent analysis based on public sources. It does not constitute legal or investment advice. Scenario and risk assessments are the author’s and rest on the data and criteria described in the methodology section.

Executive summary

- **The Chamber rejected the Ministry of Mining budget chapter.** On 12 November the floor rejected it on a tie, 59 votes to 59 with 8 abstentions. The debate centred on Codelco and on staff cuts at Sernageomin. The bill reached the Senate on 13 November with seven chapters rejected, and Congress has until 29 November to pass it.
- **The cut is small in money and larger in staff.** Spending in the chapter falls 0.4% in real terms, to CLP 56,085 million. Maximum headcount, however, drops from 926 to 877 positions, with 24 fewer at Sernageomin and 14 fewer in the Mining Safety Programme, while the government announces 30% more mine inspections in 2027.
- **The Treasury expects less from Codelco and more from private mining.** Codelco's transfers would fall 21.8% in real terms in 2027, to CLP 2.53 trillion, while taxes paid by private mining would rise 2.0%, to CLP 8.23 trillion. The reference copper price rises from US$4.38 to US$5.37 per pound and widens structural fiscal space.
- **Codelco is the front with the highest regulatory risk.** After detecting 42,100 tonnes of misrecorded output in 2024 and 2025, the Finance Minister floated assessing private capital in the company over the long term. The Copper Workers' Federation warned it will mobilise, and changing the ownership of divisions would require a constitutional amendment.
- **Environmental assessment and enforcement lose operating resources.** The SEA's environmental assessment administration programme falls 23% in real terms and the SMA's enforcement programme 19.2%. These cuts come while the SEIA and SMA reforms are under way, and those remain the legislative fronts with the greatest impact on mining projects.

Passage and scenarios

The Executive submitted the 2027 Budget Bill on 30 September 2026. It proposes central government spending of CLP 91.2 trillion, 1.5% more in real terms than projected 2026 execution. The Joint Special Budget Committee voted on the chapters between 29 October and 5 November, and the Chamber floor voted on them between 9 and 12 November.

The Chamber rejected seven chapters, including Interior, Education and Mining, as well as the authorisation to borrow up to US$25 billion. The Mining and Education chapters fell on a tie. In other votes, such as the one on the Ministry General Secretariat of Government, the government failed to secure the votes of the Partido de la Gente and the Partido Nacional Libertario, so its majority in the Chamber is not assured chapter by chapter.

The Finance Minister said he will seek to restore the rejected chapters in the Senate with adjustments, although he named only Education and the Ministry General Secretariat of Government. Criticism of the Mining chapter focused on staff cuts at Sernageomin, the lack of new resources for small-scale mining and artisanal miners (pirquineros), and the defence of Codelco against the possibility of opening its ownership.

Timeline

Date	Stage
12 November	The Chamber floor rejects the Mining chapter (59 to 59, with 8 abstentions)
13 November	The Chamber sends the bill to the Senate after a 21-hour session
17 to 19 November	Senate floor vote, according to the timetable agreed in September
23 November	Third reading in the Chamber
24 and 25 November	Joint (conference) committee, if differences remain
29 November	Constitutional deadline. If Congress does not pass the law, the Executive's bill takes effect

Scenarios for the Mining budget chapter

Scenario	What it implies	Assessment
Restored in the Senate	The Finance Ministry tables an amendment restoring the chapter, possibly with more resources for Sernageomin inspections or small-scale mining, and the Chamber accepts it at third reading.	High
Joint committee	The Chamber rejects the chapter again at third reading and the difference is settled in the joint committee, where the government negotiates with the opposition.	Medium
Not restored	The chapter is left out of the law as passed. This is unlikely, because the Executive can negotiate adjustments at two more stages and the constitutional deadline favours its bill.	Low

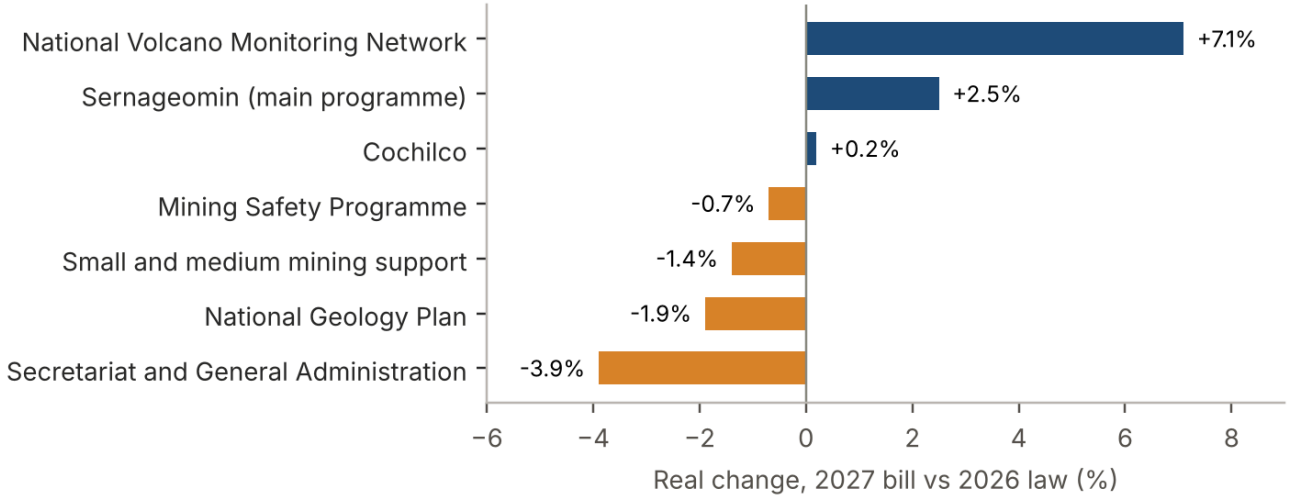
Author's assessment. It takes into account that the Executive holds exclusive initiative on spending, that the tie in the Chamber reflects a one-vote margin, and that the constitutional deadline favours the original bill if Congress fails to agree.

Inside the Ministry of Mining budget

Chapter 17 funds the Undersecretariat of Mining, the Chilean Copper Commission (Cochilco) and the National Geology and Mining Service (Sernageomin). It does not include Codelco or ENAMI, which are state-owned companies with their own budgets, although the debate on the chapter was dominated by Codelco.

Operating spending falls from CLP 56,293 million to CLP 56,085 million, a real decline of 0.4%. Within the chapter, resources shift towards Sernageomin, whose budget grows 1.8%, and away from the Secretariat and General Administration, which falls 3.9%. The National Volcano Monitoring Network is the fastest-growing programme, up 7.1%, to buy monitoring equipment.

Real change in chapter 17 programmes, 2027 bill



Source: author's analysis of Dipres data compiled by Libertad y Desarrollo (2026). CLP million at 2027 prices.

Programme	2026 law	2027 bill	Change
Secretariat and General Administration	9,798	9,413	-3.9%
Small and medium mining support	2,391	2,358	-1.4%
Chilean Copper Commission	6,746	6,756	+0.2%
Sernageomin, main programme	22,220	22,779	+2.5%
National Volcano Monitoring Network	3,694	3,956	+7.1%
National Geology Plan	4,509	4,425	-1.9%
Mining Safety Programme	6,936	6,886	-0.7%
Chapter total	**56,293**	**56,085**	**-0.4%**

CLP million at 2027 prices. The total is operating spending as reported by Dipres, which excludes CLP 488 million in transfers to the Treasury.

Headcount falls more than spending

Maximum permanent and fixed-term headcount drops from 926 to 877 positions, 5.3% fewer. The largest cuts are at Sernageomin, with 24 fewer positions, and in the Mining Safety Programme, with 14 fewer. Sernageomin raises its fee-based contractors from 8 to 17 to speed up the processing of mining projects, so the service is swapping permanent staff for temporary support.

This reduction contrasts with the announcement by Daniel Mas, who heads both the Economy and Mining ministries, of reaching 13,000 mine inspections a year by the end of 2027, 30% more than in 2026. According to mining union leaders, 20 workers died at mining operations in 2025, and 13 died between January and mid-October 2026. The National Mining Safety and Health Policy is still awaiting clearance by the Comptroller General.

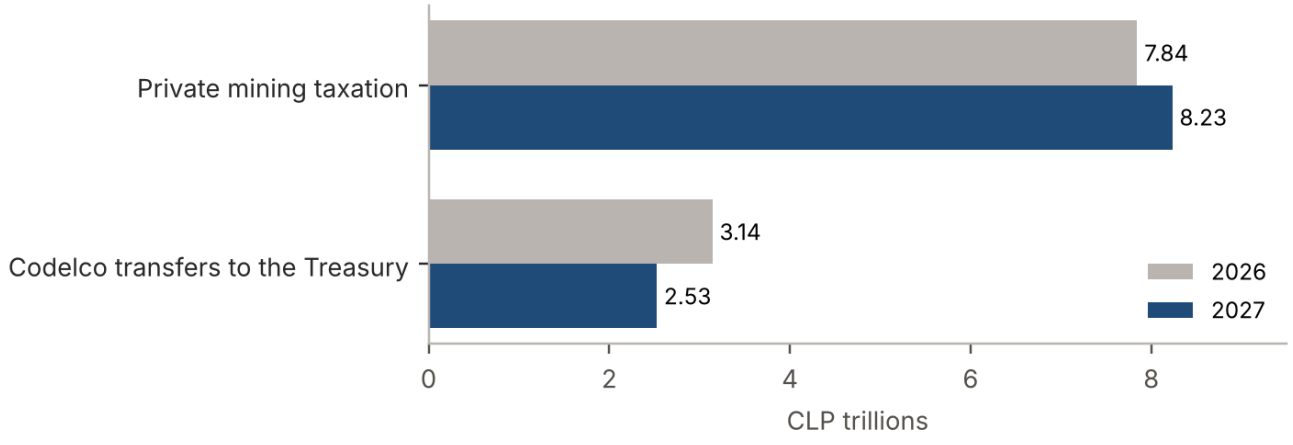
> **Programmes that lose their funding.** The bill eliminates the current transfers of the Secretariat and General Administration, including CLP 333 million for the National Lithium Strategy and CLP 32 million for abandoned mine liabilities, and removes the five fee-based positions linked to the Strategy. This does not end lithium policy. The public-private projects of Codelco with Rio Tinto at Maricunga and of ENAMI with Rio Tinto at Salares Altoandinos, Codelco's partnership with SQM in the Salar de Atacama and the special lithium operating contracts with private firms that the Ministry is processing before the Comptroller General all remain under way. The open question is who will monitor these agreements on behalf of the State if the Undersecretariat loses the resources and the team that coordinated the Strategy. The answer will depend on the Committee of Ministers for Lithium and Salt Flats, on Cochilco and on the capacity the Ministry retains in its regular budget.

Fiscal revenue from copper

The budget is built on a reference copper price of US$5.37 per pound, almost a dollar more than the US$4.38 used for 2026. The panel of 24 experts that sets it estimates the long-term price, and that value determines how much copper revenue counts as structural. A higher reference price lets the government spend more without raising the structural deficit, which the target sets at 1.8% of GDP for 2027.

For the actual price, Dipres assumes US$5.65 per pound in 2027, below the US$6.15 estimated for 2026. On that assumption, taxes paid by private mining would rise 2.0% in real terms, to CLP 8.23 trillion, and Codelco's transfers would fall 21.8% in real terms, to CLP 2.53 trillion. Codelco's decline reflects a lower price and falling output, with 564,000 tonnes in the first half of 2026, 11% less than a year earlier.

Fiscal revenue from mining, 2026 and 2027



Source: Dipres, Public Finance Report for the third quarter of 2026. CLP trillions in each year's prices. Changes in the text are real, as reported by Dipres.

For the sector, this means that private mining contributes more than three times what Codelco contributes to the Treasury, and that 2027 fiscal space depends on a high copper price. If the price falls below the assumption, the government will have less room for the tax cut in Law 21,850 and more incentive to seek revenue from Codelco, whether through lower capitalisation or new financing arrangements.

Codelco, between a production crisis and a debate on its ownership

On 29 October Codelco dismissed eight executives, and on 5 November an extraordinary shareholders' meeting reviewed irregularities in its production records. The company estimates that in 2024 and 2025 it recorded as produced 42,100 tonnes that did not correspond to actual output, with anomalies at Chuquicamata, Ministro Hales and Salvador. The preliminary accounting adjustment is US$120 to 140 million, and KPMG and EY are conducting audits that have not yet concluded.

At the meeting, Finance Minister Jorge Quiroz described what happened as deception at the level of senior management and proposed reviewing the company's governance. On 11 November, in an interview with Bloomberg, he said that private capital in Codelco itself could be assessed over the long term, adding that the State would not lose control and that it is not an immediate plan. He also mentioned selling non-strategic assets. Board chair Bernardo Fontaine said that deeper changes to the company's structure will be studied in 2027.

Reactions

The Copper Workers' Federation warned it will mobilise and strike if the government persists. The CUT labour federation, the Confederation of Copper Workers and the Mining Workers' Coordinating Body also rejected the idea. Opposition senators signed the declaration "Codelco belongs to Chile", asked for guarantees on the 2027 investment plan and will request a special Senate session. Socialist Party and Frente Amplio deputies sent official requests to learn whether a formal proposal exists, while legislators from Renovación Nacional and Evópoli asked the State Defence Council to assess legal action against those responsible.

> **Risk assessment.** The risk of a change in Codelco's ownership in the short term is low, because the minister himself acknowledged that changing the ownership of divisions would require a constitutional amendment and no bill exists. The risk of changes to its governance, by contrast, is high in 2027, since the government, the board and legislators from different parties agree that the current model failed to control production.

For private companies, the most likely effects are indirect. A prolonged debate on Codelco could strain collective bargaining in large-scale mining, delay decisions on partnerships with private firms such as Anglo American, and open room for new project-level alliances or sales of non-strategic assets. The first indicator will be whether the Mining chapter is restored in the Senate without conditions on Codelco.

Environmental assessment and enforcement

The Ministry of the Environment budget rises 0.3% in real terms, but the services that assess and enforce projects lose operating resources. According to an analysis by Rumbo Colectivo cited by El Desconcierto, the Environmental Assessment Service (SEA) grows 5% in real terms, concentrated in staff costs, while its environmental assessment administration programme falls 23% in real terms. The bill also removes three budget provisions that required the SEA to report to Congress on projects under assessment, rejected citizen participation requests and pertinence consultations.

The Superintendency of the Environment (SMA) loses 1.8% of its budget, and according to the same analysis its enforcement programme falls 19.2% in real terms, with 14 fewer permanent positions. For mining projects, the expected effect is twofold. Fewer operating resources at the SEA could lengthen assessment times, just as the government promises to shorten them, and less enforcement by the SMA could raise litigation, because communities and organisations will tend to turn to the environmental courts.

These cuts intersect with the two reforms that Briefing No. 1 identified as the most relevant open front. The SEIA reform remains in the Chamber's Environment Committee and the SMA reform is at second report in the Senate. If the budget reduces the operating capacity of both services, the reforms will have to be implemented with fewer resources than their fiscal reports assumed.

What to watch

Date	Milestone
17 to 19 November	Senate vote on the budget and a possible amendment to restore the Mining chapter
23 to 25 November	Third reading in the Chamber and joint committee, if needed
29 November	Constitutional deadline to pass the 2027 Budget Law
November and December	Special Senate session on Codelco, requested by opposition senators
No date	Results of the KPMG and EY audits of Codelco's production records
No date	Comptroller General clearance of the National Mining Safety and Health Policy
2027	Proposals to change Codelco's governance and structure announced by its board

Methodology

Chapter 17 figures come from the 2027 Budget Bill published by Dipres and from the Libertad y Desarrollo brief that breaks it down by programme, in CLP million at 2027 prices. Fiscal revenue figures come from the Public Finance Report for the third quarter of 2026. The legislative process, votes and statements come from the national press and are cited in the sources.

Legislative scenarios are assessed on three criteria. The first is the Executive's exclusive initiative on spending, which allows it to restore chapters through amendments. The second is the margin of the Chamber vote, which in the case of Mining was one vote. The third is the constitutional deadline, which favours the original bill if Congress does not pass the law in time. Risk assessments on Codelco consider whether the change requires a constitutional amendment, whether a bill exists and the degree of agreement among actors.

This briefing complements Briefing No. 1, published with information as of 9 November 2026, which tracks the mining legislative agenda.

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